Businesses in the UK Confectionery Retail Market

Exam code: 9BS0

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 22 January 2026

Multinationals in the UK confectionery market

- The UK confectionery market is **dominated by a small number of large multinational businesses**
- Although many brands are available to consumers, ownership is concentrated in the hands of a few global companies
  - The **top five multinational companies control around 47.96% of the UK confectionery market**
  - This means **almost half of all confectionery sales** in the UK are made by just five firms
  - The remaining market share is split between smaller multinationals, UK-based firms and independents
- This level of concentration gives large firms significant market power

Top multinationals and their brands

Multinational	Main UK confectionery brands
Mondelēz International	• Cadbury, Toblerone, Milka
Mars (Mars Wrigley)	• Mars, Snickers, Twix, Galaxy, Maltesers, M&M's, Skittles
Nestlé	• KitKat, Aero, Smarties, Quality Street, Rowntree's
Ferrero	• Kinder, Ferrero Rocher, Nutella
Lindt & Sprüngli	• Lindor, Lindt bars, seasonal gifting
Haribo	• Haribo, Maoam
Perfetti Van Melle	• Mentos, Chupa Chups, Smint

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

The Hershey Company	• Reese's

Case Study

Mondelēz International

Help me understand

- Mondelēz owns **Cadbury**, one of the best-known confectionery businesses in the UK
  - Cadbury's long heritage gives it strong brand loyalty
- Mondelēz uses this to defend market position in the UK's mature, competitive market

Target markets

- Mondelēz targets a wide mass market, but it also targets *specific occasions and segments*, such as:
  - Everyday treats (small bars, countlines)
  - Sharing (bags and larger formats)
  - Gifting and seasonal products (especially Easter and Christmas)

Business objectives

- Mondelēz typically aims to protect and grow sales through:
  - Brand strength and availability in supermarkets and convenience stores
  - Product innovation and seasonal ranges to keep demand high
  - Premiumisation where possible, to protect profit margins when costs rise

Recent performance

- In 2024, Mondelēz reported **worldwide revenue of $36.4bn**
- Mondelēz has been in the UK news for product range decisions, including the reported discontinuation of a dark Toblerone bar in the UK

Mars Wrigley

- Mars is a family-owned multinational with a long history in confectionery
- It is strongly embedded in UK retail with a range of famous brands

Target markets

- Mars targets large mainstream segments, including:
  - Impulse and convenience shoppers (single bars at tills)
  - Sharing occasions (bags and tubs)
  - Family and seasonal buying (Easter eggs and Christmas tubs)
- **Business objectives**
  - Strengthening its premium position, not just mass market confectionery
  - Expanding its snacking range, which is why Mars has pursued major acquisitions
- **Recent performance**
  - Mars is privately owned, but in 2024 **sales topped $54bn**
  - It completed the acquisition of **Hotel Chocolat** in January 2024, giving it a stronger position in premium chocolate and gifting
  - Mars has also been linked to shrinkflation, changing pack sizes during recent periods of cocoa price inflation

Case Study

Ferrero

- Ferrero is an Italian family-owned confectionery multinational best known for premium gifting and family brands
- It has steadily expanded internationally and competes strongly in chocolate and seasonal products

Target markets

- Ferrero's UK target markets are often clearer than some rivals because its products cluster around:
  - Family and child-focused chocolate, such as Kinder
  - Premium gifting, such as Ferrero Rocher
  - Brand extensions, such as Nutella chocolate products
- **Business objectives**
  - Expanding into new categories and formats while protecting its quality image
  - Growing internationally and strengthening supply chains for key ingredients, especially hazelnuts
- **Recent performance**
  - Ferrero reported **€18.4bn revenue in 2023/2024**, an **8.9% increase** year-on-year
  - Ferrero has recently been reported in business news linked to **hazelnut supply pressures,** as it uses **25%** of the global supply of hazelnuts

Independents in the UK confectionery market

- Independents confectionery businesses and brands hold a **small combined market share** and rarely compete directly with large brands on volume or price
- They are **disproportionately important** in certain segments and tend to perform best in **specific niches**, rather than the mass market

Where independents are strong	Where independents are weak
• **Premium chocolate**, especially bars, truffles and filled chocolates • **Ethical and sustainable chocolate**, such as single-origin and Fairtrade products	• Impulse confectionery, such as single chocolate bars and small bags of sweets • Convenience retail, such as local shops, petrol stations etc

and Valentine's Day	

- Independent brands are more often found in **farm shops, specialist retailers, online stores** and **tourist locations**

Independent confectionery businesses in the UK

Independent business	Type of products	What makes them distinctive
Hotel Chocolat *(now owned by Mars)*	• Premium chocolate	• Pioneered premium, ethically sourced chocolate in the UK
Montezuma's	• Chocolate bars and truffles	• Ethical sourcing, bold flavours, strong brand values
Willie's Cacao	• Single-origin chocolate	• Focus on provenance and minimal processing
Pump Street Chocolate	• Bean-to-bar chocolate	• Craft positioning, bakery origins
Rococo Chocolates	• Luxury chocolates	• Gift-focused, London heritage
Chococo	• Handmade chocolates	• Regional identity, sustainability focus
Cocoa Loco	• Organic chocolate	• Ethical and organic certification
Divine Chocolate	• Fairtrade chocolate	• Farmer ownership model

- These firms are **well known to consumers who are willing to pay more**, even if they are unfamiliar to mass-market shoppers

How independents compete

Premium and ethical positioning

    - higher cocoa content
    - unusual flavour combinations
    - ethical sourcing stories
    - small-batch or handmade production

- Consumers who buy from independents are often:
    - older
    - higher income
    - values-driven
    - buying gifts rather than everyday snacks

Innovation and flexibility

- Smaller firms are often **more flexible than multinationals**.
- They can:
    - experiment with flavours more quickly
    - respond faster to trends such as vegan or single-origin chocolate
    - test products online without national supermarket listings
- This helps them stay relevant even in a difficult trading environment

Case Study

Willie's Cacao

- Willie's Cacao is a UK-based independent chocolate business founded by Willie Harcourt-Cooze
- It specialises in **single-estate chocolate**, meaning cocoa comes from one identifiable farm or region

Target market

- Premium chocolate consumers
- Ethically minded buyers
- Food enthusiasts interested in provenance

Business objectives

- Maintaining high quality rather than high volume
- Educating consumers about cocoa origins
- Sustaining long-term relationships with growers

Performance and challenges

- The brand has strong recognition in premium food retail but faces challenges from:
    - rising cocoa prices

Case Study

Montezuma's

- Montezuma's is a UK independent chocolatier known for **bold flavours and ethical sourcing**
- It has grown through a mix of increased retail presence and online sales

Target market

- Consumers looking for premium but accessible chocolate
- Shoppers interested in ethical and sustainable products
- Gifting customers during seasonal periods

Business objectives

- Brand differentiation through flavour innovation
- Maintaining ethical credentials
- Balancing growth with independence

Recent performance and context

- Like many independents, Montezuma's has had to manage:
  - higher ingredient and energy costs
  - cautious consumer spending
- This makes premium positioning essential to protect profit margins

Case Study

Divine Chocolate

- Divine Chocolate is distinctive because it is **part-owned by cocoa farmers**, making it one of the most ethical chocolate brands in the UK

Target market

- Ethically conscious consumers
- Fairtrade supporters
- Shoppers willing to pay more for values-led brands

Business objectives

- Support farmer incomes
- Raise awareness of ethical supply chains
- Compete in the premium chocolate segment without compromising values

Performance and challenges

- While the brand has strong ethical credibility, it faces:
  - intense competition from multinational ethical brands
  - limited marketing budgets

Teacher only

Test your students on this in just a few clicks

- Create exam-aligned tests
- Tailor format & difficulty
- Quizzes or homework in minutes

Try Test Builder →

Was this revision note helpful? Yes No

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.